

My spreadsheet of the trade says I made 7% but didn't collect any dividends along the way. I was late entering and late exiting. I'm not so sure I agree with that assessment. The optimum buy location should be a penny above the breakout price, and I bought in well before that, but also well above the bottom of the board. Perhaps I was thinking that the bottom of the board was the optimum entry price. If that's the case, then yes, I was late getting into the trade.

As to the exit, I sold (daily chart, not shown), right at the valley of the double top. *Sigh*. If I had sold it either 3 days earlier or 3 days later, I'd have a perfect exit. And yet, selling when I did locked in a small profit and avoided a huge loss.

Here are my lessons from the trade.

- Lesson: Do better homework. Finding out the company was loaded with debt after I bought was a mistake.
- Lesson: “Stocks that cut their dividend rates outperform a year later.” I learned this when researching dividends in my book, *Fundamental Analysis and Position Trading: Evolution of a Trader* (Wiley, 2013). Owning a stock that cuts the dividend is painful, but the year-ahead performance can be rewarding.
- Lesson: Use a buy stop a penny above the top of the pattern as the entry price. Had I followed this, I'd have made less, but it's the proper way to trade a diving board.
- Lesson: When fundamentals change, sell. That's what I did when I learned the company lost permission to build the pipeline. Selling locked in a small profit instead of a whopper of a loss.

Sample Trade

[Figure 25.5](#) shows a trade Rich made in a diving board pattern, so let's dissect it, beginning by crunching the numbers.

The board begins the week of 7 May 2018 (A) and ends on 17 September 2018 (A1), for a length of 134 days. [Table 25.11](#) says that it's a short board. Note that the length of the board does not include the plunge (A1 to B),